

Before the
FEDERAL MARITIME COMMISSION

Washington, DC 20573

Docket No. 22-21

MSRF Inc. v. Yang Ming Marine Transport Corporation.

**COMPLAINANT’S RESPONSE IN OPPOSITION TO RESPONDENT’S
MOTION TO STRIKE OR DISREGARD COMPLAINANT’S REPLY BRIEF**

Complainant MSRF Inc. (“MSRF”), by and through its attorneys, and for its Response in Opposition to Respondent Yang Ming Marine Transport Corporation (“Yang Ming”) Motion to Strike or Disregard Complainant’s Reply Brief (the “Motion”) states as follows:

INTRODUCTION

On July 6, 2023, Yang Ming filed a Motion requesting that the Commission strike or disregard MSRF’s Reply Brief filed on July 3, 2023. In the interests of judicial economy , to avoid delay and for the reasons stated below, the Presiding Officer should deny the Motion.

MSRF’s Opening Brief contains more than a “we should win” or as Yang Ming unceasingly calls it in in their Opposition Brief and Motion—sandbagging. MSRF’s Opening Brief explicitly states the Shipping Act provisions Yang Ming violated and it provides facts that show Yang Ming’s violations, such as the breach of the Service Agreement between Yang Ming and MSRF. *See* MSRF’s Opening Brief pp. 1-4. Additionally, MSRF’s Reply Brief does nothing more than further explain and clarify the arguments it already made in its Opening Brief. MSRF’s Reply Brief also responds to the accusations and arguments Yang Ming made in their Opposition Brief.

Yang Ming's Motion to Strike disregards the Commission’s interest in administrative efficiency and instead seeks to prioritize form over substance. Accordingly, Yang Ming’s Motion

should fail because MSRF's Reply Brief does not add new evidence and arguments—instead, it seeks to explain and clarify the legal and factual arguments already included in the Opening Brief.

ARGUMENT

The Presiding Officer should deny Yang Ming's Motion to Strike or Disregard MSRF's Reply Brief and Yang Ming's request to file a surreply brief. Simply put, MSRF's Reply Brief contains a response to Yang Ming's accusations and arguments made in their Opposition brief and further clarifies and explains the arguments made in MSRF's Opening Brief. Furthermore, in their Opposition Brief, Yang Ming responded to any and all arguments MSRF could possibly make as part of its Reply Brief. Yang Ming's desire to have the last word in this proceeding is contrary to well established federal law precedent. As a result, the Presiding Officer should deny Yang Ming's Motion in its entirety.

I. MSRF's Reply Brief Does Not Contain New Evidence or Arguments Not Previously Raised in MSRF's Opening Brief.

Contrary to Yang Ming's accusations in their Motion, MSRF's Reply Brief explicitly explains, clarifies and responds to the arguments and claims already made in MSRF's Opening Brief and Yang Ming's Opposition Brief. MSRF's Reply Brief does not raise new arguments nor does it contain new evidence not previously shared with Yang Ming during discovery.

While a reply brief is not the proper place to raise new arguments, *see United States v. Brennan*, 994 F.2d 918, 922 n. 7 (1st Cir.1993) (noting the “well-settled” rule that arguments raised for the first time in a reply brief are waived), it is proper for a court to look there for clarification. *See United States v. Bradstreet*, 207 F.3d 76, 80 (1st Cir. 2000); *Lomotey v. Connecticut-Dep't of Transp.*, 355 F. App'x 478, 481 (2d Cir. 2009) (finding that the defendant's reply brief offered further explanation and clarification in support of its position and did not offer new arguments); *Hill v. England*, 2005 WL 3031136, at *1 (E.D. Cal. Nov. 8, 2005) (finding that a reply brief did

not raise new arguments when it “merely reiterate[d] the grounds for dismissal asserted in [the] opening brief”); *Great Am. Ins. Co. v. Berl*, 2017 WL 8180627, at *2 (C.D. Cal. Oct. 23, 2017) (finding that although the defendants’ motion may not have articulated the arguments in the exact same way as in the reply, the underlying legal and factual arguments were the same).

MSRF’s Reply Brief does not raise new legal arguments and evidence not previously raised in MSRF’s Opening Brief. Rather, MSRF’s Reply Brief offers further explanation and clarification as to the arguments it made in its Opening Brief—that Yang Ming violated sections 41102(c), 41104(a)(2), and 41104(a)(10) of the Shipping Act through their breach of the Parties’ Service Contract Agreement. 46 U.S.C. §§ 41102(c), 41104(a)(2), and 41104(a)(10); MSRF Opening Brief pp. 1-4. There are no new legal issues raised by MSRF in the Reply Brief. The Reply Brief plainly restates the sections of the Shipping Act that Yang Ming violated as previously discussed in the Opening Brief. MSRF Opening Brief pp. 1-4; MSRF Reply Brief pp. 2-9. In addition, the evidence included in the Reply Brief was merely used to support MSRF’s existing claims. All evidence used in the Reply Brief has been previously shared with all Parties through the discovery process. As a result, the Reply Brief served as further clarification of the legal arguments and claims that MSRF brought to the Commission’s attention in its Opening Brief—Yang Ming’s violations of sections 41102(c), 41104(a), and 41104(a)(10) of the Shipping Act—and does not raise new legal or factual issues not previously discussed.

Even if MSRF submitted evidence never before shared with Yang Ming during discovery, Yang Ming’s own cases, which they cite in their Motion, prove that the Presiding Officer can consider new evidence in making her final decision. See Yang Ming Motion pp. 6 (citing to *Hicks v. City of Millersville*, 2022 WL 3589489, at *7 n.6 (M.D. Tenn. Aug. 22, 2022); *Atl. Specialty*

Ins. Co. v. Digit Dirt Worx, Inc., 793 F. App'x 896, 900 (11th Cir. 2019))¹. MSRF's supplemental appendix contained one exhibit that was not previously shared during discovery—a New York Times Article, marked as Exhibit 1 in MSRF's Reply Brief. That exhibit is a public document that was used to counter some of the public documents submitted by Yang Ming in their Opposition Brief regarding the COVID-19 pandemic and supply chain issues—which were never disclosed to MSRF during discovery. See Yang Ming's Opposition Brief pp. 13.

Additionally, arguments and evidence presented in reply are not “new” if they are in direct response to arguments and proof adduced in opposition to a motion. *Blake, D.C., et. al v. NCMIC Ins. Co.*, 2023 WL 3689543, at *6 (D. Alaska May 26, 2023) (holding that the plaintiff's brief did not raise new arguments, it merely “reiterated and elaborated” on the arguments in its opening brief and responded to the factual and legal arguments raised in opposition); see *Baloch v. Norton*, 517 F. Supp. 2d 345 (D.D.C. 2007).

Here, MSRF's Reply Brief also directly responds to Yang Ming's arguments made in their Opposition Brief, that they did not violate Section 41102(c), 41104(a)(2) and 41104(a)(10) of the Shipping Act. In its Reply Brief, MSRF responded to Yang Ming's arguments by explaining and clarifying that Yang Ming violated the Shipping Act through the breach of the terms of the Service Contract Agreement between the Parties and by enforcing unjust and unreasonable regulations and practices relating to receiving, handling, storing or delivering property. In their Opposition Brief, Yang Ming also claimed that there was no evidence that proved Yang Ming violated Section 41102(c) 41104(a)(2) and 41104(a)(10) of the Shipping Act. The Reply Brief used the evidence already shared with all Parties in discovery to explain Yang Ming's violations of the Shipping Act.

¹ Both *Hicks* and *Atl. Specialty Ins. Co.* state that a district court has the discretion to consider new evidence submitted with a reply.

Yang Ming’s final argument that the Presiding Officer’s April 5, 2023 Order “specifically reject[ed] the filing of evidence in connection with Complainant’s Reply Brief” is also unwarranted. *See* Yang Ming Motion pp. 5. Nowhere in the April 5, 2023 Order does it say that MSRF cannot submit a supplemental appendix in the Reply Brief or that MSRF cannot provide evidence to respond to Respondent’s Statement of Facts. Yang Ming’s counsel assumes that because the April 5, 2023 Order is silent about supplemental appendixes, it means that they are not allowed. However, Yang Ming’s counsel is not the Presiding Officer and she cannot add language that is clearly not part of the April 5, 2023 Order.

Accordingly, the Reply Brief did not add new factual or legal claims. Rather, it covered all of the claims and facts already previously discussed in MSRF’s Opening Brief and responded to the arguments Yang Ming made in their Opposition Brief. Thus, Yang Ming’s Motion must be denied.

II. The Presiding Officer Should Deny Yang Ming’s Request to File a Surreply Brief.

Yang Ming has had more than an ample opportunity to present their argument in their Opposition Brief. Yang Ming’s Opposition Brief not only included responses to foreseeable arguments that MSRF could make in its Reply Brief, but it also provided the Presiding Officer with a history of every Shipping Act provision that MSRF alleged Yang Ming violated, and explained how those provisions do not apply to Yang Ming. Yang Ming used an abundance of caselaw, legislative history of the Shipping Act and FMC regulations and rulemakings to attempt to prove their point. These arguments filled seventy-eight pages. It is difficult to imagine what more Respondent would need to say.

When a reply “squarely responds to the arguments in [a] response brief, and does not advance new arguments,” a sur-reply is unwarranted. *Henley v. Turner Broad. Sys., Inc.*, 267

F.Supp.3d 1341, 1349 (N.D. Ga. 2017). To allow sur-replies as a matter of routine “would put the court in the position of refereeing an endless volley of briefs.” *Garrison v. Northeast Georgia Med. Ctr., Inc.*, 66 F.Supp.2d 1336, 1340 (N.D.Ga.1999). “As many courts have noted, ‘[s]ur-replies ... are highly disfavored, as they usually are a strategic effort by the nonmoving party to have the last word on a matter.’ ” *Liberty Legal Found. v. Nat’l Democratic Party of the USA, Inc.*, 875 F. Supp. 2d 791, 797 (W.D. Tenn. 2012).

Here, MSRF’s Reply Brief merely responded to the allegations and arguments Yang Ming made in their Opposition Brief. In addition, MSRF’s Reply Brief clarified and explained the arguments it had already made in its Opening Brief. MSRF’s Reply Brief did not contain new arguments or evidence as Yang Ming claims. Even if MSRF’s Reply Brief contained new arguments and evidence, Yang Ming has responded to every present and foreseeable argument MSRF could have possibly made in its Reply Brief as evidenced by the length and substance of their Opposition Brief. As such, the only possible reason for Yang Ming to desire to file a surreply brief is to have the last word on the matter, which is highly disfavored by federal district courts.

Therefore, the Presiding Office should deny Yang Ming’s request to file a surreply brief because MSRF’s brief squarely responds to the arguments raised by Yang Ming in their Opposition brief and does not advance any new arguments.

CONCLUSION

For the foregoing reasons, MSRF respectfully requests that the Commission deny Yang Ming's Motion to Strike or Disregard Complainant's Reply Brief because the Reply Brief does not include new arguments or evidence not previously raised in MSRF's Opening Brief. Instead, the Reply Brief simply clarifies and explains the legal claims MSRF's had already included in its Opening Brief.

Dated: July 12, 2023

Respectfully submitted,

CLARK HILL PLC

/s/ R. Kevin Williams

R. Kevin Williams
kwilliams@clarkhill.com

312.985.5907

130 E. Randolph Street, Suite 3900
Chicago, IL 60601

Counsel for Complainant MSRF, Inc

CERTIFICATE OF SERVICE

I certify that on July 12, 2023, a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Initial Order of August 22, 2022.

Attorneys for Respondent Yang Ming:

Rebecca Fenneman
Eric C. Jeffrey
Jeffrey/Fenneman Law + Strategy, PLLC
700 12th Street, NW Suite 700
Washington, DC 20005
ejeffrey@jeffreyfenneman.com
rfenneman@jeffreyfenneman.com

/s/ R. Kevin Williams
R. Kevin Williams
kwilliams@clarkhill.com
312.985.5907
Clark Hill PLC
130 E Randolph Street Suite 3900
Chicago, IL 60601